

Round Trip

S&P -0.55% as Monday's chip leaders reverse into Warsh's first FOMC. The Dow notches a record on a value rotation; Nasdaq -1.14% . The decision and dot plot land Wednesday.

THE SESSION

Monday's chip-led advance found its other half on Tuesday, and the two sessions now read as a single round-trip. The same semiconductor names that powered the tape into the U.S.–Iran signing handed the gains back: the S&P 500 eased 0.55% to 7,512.99 and the Nasdaq gave up 1.14% , while a sell-off in the most-extended AI hardware names did the bulk of the work. This was the market clearing its throat before Kevin Warsh speaks.

The character of the day is best read in the dispersion. While the Nasdaq fell, the Dow Jones Industrial Average pressed to a fresh record close, and the proceeds of the chip sale rotated into value, industrials, and rate-sensitive cyclical rather than into cash. That is the signature of a portfolio reshuffle, not a retreat. Our own sleeves captured the split with unusual clarity: the Dividend Strategy held within a whisker of flat at -0.16% , while the Growth Portfolio absorbed the chip reversal at -2.01% .

The backdrop is a Federal Reserve meeting that began Tuesday and concludes Wednesday at 2:00 p.m. Eastern, with Chair Warsh's first press conference to follow. Futures price a hold at $3.50\text{--}3.75\%$ as a near-certainty; the live questions are whether the statement sheds its easing bias and what the refreshed dot plot says about the path from here. With May inflation running at 4.2% year over year, a cohort of stocks priced for perfection chose to take a step back ahead of the answer. Crude continuing its slide toward $\$80$, on expectations the Iran framework revives supply, pulled bond yields lower and gave the rotation its destination.

IOWN Tactical: A record Dow alongside a falling Nasdaq is the market doing our diversification work for us. We do not chase the names that ran the hardest, and we do not flinch when they give a day back. The committee's SPY \$645.80 reference sits far below today's tape; nothing in this session asks us to act. Think Like an Owner.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

VST $+3.32\%$ GROWTH PORTFOLIO

Vistra led the holdings on the day as power generators caught a bid; the AI-electricity demand thesis pairs with lower yields to lift the independent-power complex.

TOL $+3.07\%$ GROWTH PORTFOLIO

Toll Brothers advanced on fresh community and move-in-ready inventory announcements; the homebuilder benefited as falling oil dragged Treasury yields lower.

GPC $+2.51\%$ DIVIDEND STRATEGY

Genuine Parts climbed after DA Davidson initiated coverage with a Buy recommendation, a clean catalyst on a day the value side held firm.

AEM $+2.34\%$ GROWTH PORTFOLIO

Agnico Eagle rose as gold held steady near $\$4,355$; the miner kept its bid while the safe-haven complex stayed in the mix.

ABT $+2.20\%$ DIVIDEND STRATEGY

Abbott led the dividend sleeve's defensive names higher, the kind of steady healthcare compounding that earns its keep on rotation days.

CAT $+1.23\%$ DIVIDEND STRATEGY

Caterpillar featured among the day's Dow movers as industrials carried the record-setting blue-chip tape.

DECLINERS

MRVL -9.78% GROWTH PORTFOLIO

Marvell gave back Monday's double-digit gain in full. The name had run roughly 24% in a week on a wave of analyst upgrades; at a forward multiple in the 80s, a step back ahead of the Fed is unsurprising.

CRDO -7.80% GROWTH PORTFOLIO

Credo, a high-beta AI-connectivity name, traded with the cohort's reversal; these are the stocks that move most in both directions.

AMD -7.30% GROWTH PORTFOLIO

Advanced Micro Devices erased its Monday advance as the AI-hardware complex de-risked into the decision.

LRCX -5.03% DIVIDEND STRATEGY

Lam Research surrendered Monday's 6% gain; semicap equipment trades as a high-beta proxy for the broader chip tape.

QCOM -3.05% DIVIDEND STRATEGY

Qualcomm eased as the market digested its reported Tenstorrent talks and the chip cohort cooled; the QCOM Investor Day on June 24 remains the next marker.

NXPI -4.11% GROWTH PORTFOLIO

NXP Semiconductors traded down with the group, its automotive-and-industrial chip exposure caught in the broad semiconductor pullback.

HOLDINGS NEWS

Genuine Parts (GPC) drew a new Buy. DA Davidson initiated coverage of the auto-and-industrial parts distributor with a Buy recommendation, the proximate driver behind the day's 2.51% gain and a vote of confidence in the dividend sleeve's steadier corner.

Lockheed Martin (LMT) and GM Defense formalized a manufacturing collaboration. The two companies announced a partnership to strengthen U.S. defense-industrial manufacturing as the Pentagon scales munitions output. For our defense holdings, the long-cycle backlog framework is what anchors the position; LMT closed up 1.05% on the news.

Qualcomm (QCOM) stayed in the headlines on its reported Tenstorrent talks. The reported acquisition of the AI chip-design startup, paired with the Investor Day on June 24, keeps the company's data-center pivot front of mind even as the stock cooled with the cohort.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

−0.16%

vs. DVY +0.10% | SPY −0.59%

GROWTH PORTFOLIO

✗ TRAIL

−2.01%

vs. IUSG −1.15%

YEAR-TO-DATE

Dividend +15.47% vs DVY +10.82% / SPY +10.03%

Growth +20.76% vs IUSG +11.72%